

# Dry Bulk Shipping

## Bi-Weekly Industry Report

September 1, 2026

- Steady Demand and Shrinking Vessel Supply Pushes Spot Higher** – During the second half of August, **robust iron ore transportation demand** in the Pacific, driven by all three mining majors, combined with localized storm disruptions that **tightened vessel lineups** led to elevated freight rates on the critical Australia-to-China route. Concurrently, a constricted Atlantic tonnage list **pushed spot rates upward** despite softer regional demand, positioning the market advantageously from a higher absolute baseline as it transitions out of the historically quiet summer August month and into the seasonally strong autumn period. Additionally, **metallurgical coal import demand** jumped, following a major accident in China with traders scrambling to secure tonnage of medium-size bulkers. While other maritime segments like tankers and containers are earning significantly higher daily rates, this parallel success **has bolstered shipowner sentiment** despite any direct fundamental link amongst those segments, potentially amplifying upward spot rate pressure should an unexpected market tightening occur. Consequently, despite generally flat underlying fundamentals in our view, the **near-term outlook** for spot Capesize rates **remains highly optimistic**, sustained by a volatile global logistics landscape that continues to drive exceptional volatility and historic performance across the broader shipping industry during a year for global shipping that will be remembered for decades to come.
- Iron Ore follows Coking Coal Higher Amidst the Worst Disaster since 2009** – **Coking coal**, the second most important ingredient in the steelmaking process, delivered an **unprecedented, record-breaking performance**, surging over 40% within the month after a catastrophic mining accident in Shanxi triggered nationwide safety inspections and sweeping production curtailments across China. While iron ore prices experienced a modest, low-single-digit sympathy increase, the steelmaking raw material complex faces shifting dynamics; forward-looking projections indicate ample iron ore supply, yet escalating input costs from both metallurgical coal and ocean freight are **actively compressing steel mill margins** to multi-year lows. Consequently, these severe margin pressures are likely to trigger downward adjustments in steel production, subsequently curtailing downstream demand for iron ore in the near term.
- Our Long-term View** – The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady but elevated fleet growth.

### Short-term Indicators

Momentum: **Positive**

Sentiment: **Neutral**

Fundamentals: **Neutral**

**Breakwave Dry Futures Index: 3351**

30D: 17.5% **↑**

YTD: 118.1% **↑**

YOY: 62.7% **↑**

**Baltic Dry Index (spot): 3186**

30D: 16.6% **↑**

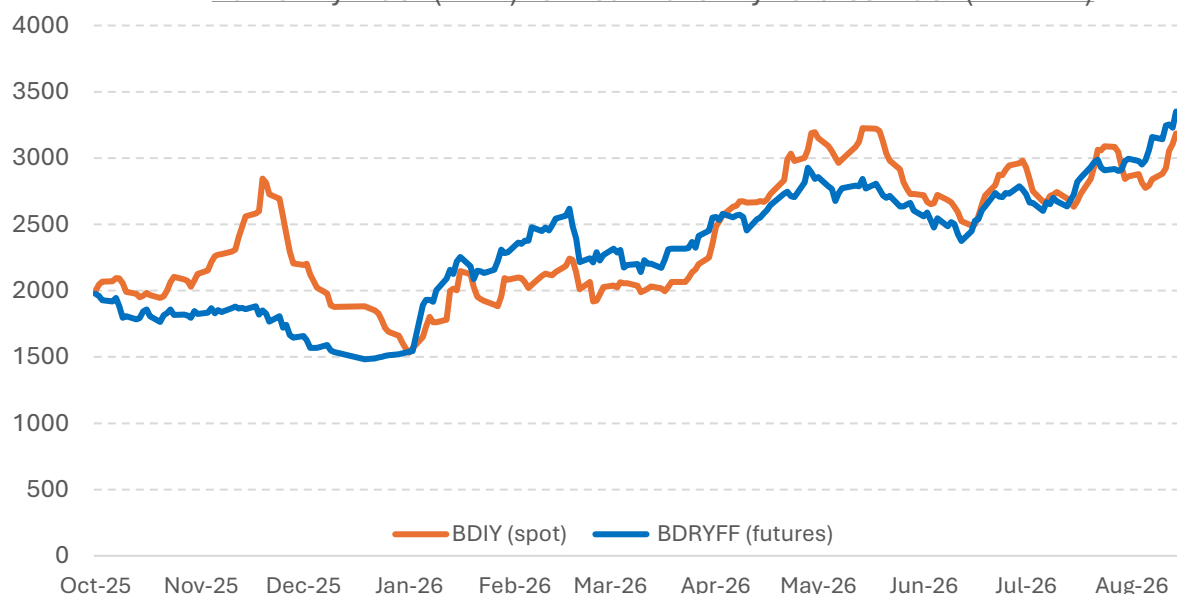
YTD: 69.7% **↑**

YOY: 57.4% **↑**

Reuters: BDRY.K  
Bloomberg: BDRY US  
Exchange: NYSE

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### Baltic Dry Index (BDIY) vs Breakwave Dry Futures Index (BDRYFF)



The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

## Dry Bulk Fundamentals

| Demand                     | YTD   | YOY   |
|----------------------------|-------|-------|
| China Steel Production     | 577mt | -2.9% |
| China Steel Inventories    | 4.9mt | 12.1% |
| China Iron Ore Inventories | 155mt | 18.8% |
| China Iron Ore Imports     | 737mt | 5.7%  |
| China Coal Imports         | 268mt | 4.2%  |
| China Soybean Imports      | 62mt  | 1.8%  |
| Brazil Iron Ore Exports    | 227mt | 0.6%  |
| Australia Iron Ore Exports | 468mt | 4.4%  |

### Supply

|                |           |      |
|----------------|-----------|------|
| Dry Bulk Fleet | 1093 mdwt | 3.7% |
|----------------|-----------|------|

### Freight Rates

|                              |        |       |
|------------------------------|--------|-------|
| Baltic Dry Index, Average    | 2,478  | 71.1% |
| Capesize Spot Rates, Average | 31,519 | 76.7% |
| Panamax Spot rates, Average  | 17,905 | 50.0% |

**Note:** All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

**Sources:** Bloomberg, IEA, Clarksons and Breakwave Advisors

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